

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$108.83 ▲ 1.70%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.56	Market Cap \$97.87B
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HOOD: Cooling After Rally, Crypto Rules Still Tailwind

WHAT HAPPENED

- HOOD bounced +1.7% today after four straight down days from \$114 → \$107. Volume was LIGHT (9.5M vs 18-22M prior days) — that tells me this isn't real buying, it's just a breather in a pullback. The stock ran hard into October and is now digesting.
- Options flow is screaming bullish — put/call at 0.37 (way more call buyers than put buyers) and someone bought 18K calls at the \$109 strike expiring this month at 7x the existing open interest. Translation: a big player is betting on a quick bounce back above \$110.

WHY IT MATTERS

The pullback from \$114 isn't a thesis-breaker — it's profit-taking after a monster run (stock is up ~70% YTD and sitting near the middle of its 52-week range). What matters more: HOOD is now a direct beneficiary of the Trump admin's crypto-friendly posture. The SEC under Atkins has dropped multiple crypto enforcement cases, and the GENIUS Act (stablecoin framework) plus the CLARITY Act (crypto market structure) have given HOOD legal cover to expand tokenized stocks, staking, and prediction markets — all high-margin stuff. The big options bets today suggest smart money thinks the next catalyst (Q3 earnings in early November) prints strong crypto revenue, and they're positioning before the move.

POLICY & POLITICAL WATCH

Three live policy threads matter for HOOD right now: (1) CLARITY Act implementation — the SEC/CFTC are carving up crypto jurisdiction, and HOOD's crypto arm wins either way because it finally has rules of the road; (2) Prediction markets — the CFTC under the new admin has basically green-lit event contracts, and HOOD's Kalshi partnership is a growing revenue line (watch for any state AG pushback, which is the main risk); (3) Payment for order flow (PFOF) — the SEC's Gensler-era proposal to kill PFOF is dead under Atkins, which is HUGE for HOOD since that's a core revenue driver. Net-net, the regulatory environment went from hostile to friendly in 18 months.

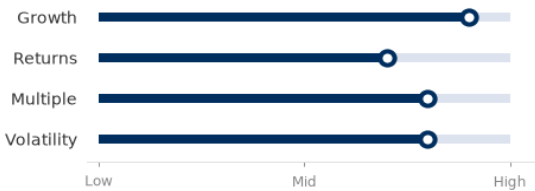
IS IT EXPENSIVE?

At ~\$98B market cap on ~\$4.8B of expected 2026 revenue, you're paying about \$20 for every \$1 of sales — that's rich vs. Schwab at ~\$7 but HOOD is growing 40%+ while Schwab grows single digits. Forward P/E around 55x means investors are paying \$55 for every \$1 of next year's earnings, which only works if crypto and new products (retirement, wealth management, Bitstamp integration internationally) keep compounding. Not cheap, but not insane for the growth — the stock earns its multiple only if 2027 earnings actually hit ~\$2.70.

Key Data

Price (USD)	\$108.83
12M Price Target	\$135.00
Upside / (Downside)	+24.0%
Market Cap	\$97.87B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.95
FY2027E EPS	\$2.70
Fwd P/E	55.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$112.00	\$95.00
6 Months	\$150.00	\$125.00	\$85.00
1 Year	\$175.00	\$135.00	\$75.00
2 Years	\$220.00	\$160.00	\$65.00
5 Years	\$350.00	\$220.00	\$50.00
10 Years	\$600.00	\$325.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Financials (+0.9% today, +2.3% week) — rate cut expectations and deregulation tailwinds. Real Estate and Utilities ripping on falling long-end yields.

COOLING OFF: Nothing really breaking down today — this looks like a broad "risk-on" tape with defensive sectors leading, which is a weird mix (suggests money is being put to work everywhere, not rotating).

ROTATION WATCH: Money flowing into rate-sensitive names (REITs, Utilities) tells me the market is pricing in more Fed cuts — that's indirectly bullish for HOOD because lower rates = more risk-taking by retail = more trading.

RELATED PLAY: If HOOD works, the crypto infrastructure names (COIN, MSTR, exchanges) work too. The second-order play is Nasdaq (NDAQ) and ICE — they benefit from any retail-driven volume surge regardless of which broker wins.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-regulation tailwind — direct read-through to HOOD's crypto arm.
- IBKR (Interactive Brokers): Steady grinder benefiting from broad retail/active trader growth, less crypto-dependent.

HOOD CONTEXT: HOOD has been the leader of this peer group all year but is now pausing while COIN continues to grind higher. That's actually fine — leaders need to rest. If HOOD can't hold \$105-107, though, it would signal rotation OUT of the high-beta broker trade and INTO the steadier names like IBKR.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish on the structural story (crypto rules + retail wealth platform) but the stock has run a lot and valuation leaves no room for a miss.

POSITION SIZE: 2-4% — real upside but the volatility is brutal, so size it where you can stomach a 30% drawdown without panicking.

ENTRY POINTS: Add in the \$100-105 zone on any macro wobble. If it breaks \$100, wait for it to stabilize before stepping in — don't catch the knife.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings in early November; medium-term catalyst is tokenized equities launch and international expansion via Bitstamp.

WHEN TO BAIL: If crypto trading volumes drop more than 40% quarter-over-quarter, or if the SEC under new leadership somehow reverses on PFOF (low probability but game-over), or if the stock loses \$95 on heavy volume.

HEDGING: Simplest hedge — if you own 100 shares, buy a put option around \$95 strike for 2-3 months out. Costs you a small premium but caps your downside if crypto cracks. Or just pair it with a short position in a slower-growth broker like Schwab.